

Topic:

Closing-entries &

Post/After closing Trial Balance:

← Closing اس لیے پاس کی جاتی ہے تاکہ Temporary
Nature کے Accounts close ہو سکیں۔

← ہر سال کے آخر میں پاس کی جاتی ہے۔
Accounts کو close کیا جاتا ہے۔

o Drawings / Dividends

o Revenues

o Expenses

o Net income / Profit

← Adjusted TB سے بنی ہوئی ہے۔

اگر Unadjusted TB دیا ہو تو اس کے ساتھ Adjusting

entries کی ضرورت ہے۔

Then prepare Adjusted TB. ←

Then do closing entries. ←

Rules

① ← سب سے پہلے expenses کو close کر دینا ہے۔

سارے سال کے expenses کو جمع کر کے

پھر سب expenses کو Add کر کے Value

Income & Summary A/c → Dr
 Exp₁
 Exp₂
 ...
 Exp_N
 (To close expenses)

← 2
 Revenues
 R₁
 R₂
 ...
 R_N
 (To close Revenues)

Income & Summary A/c → Cr
 (To close Revenues)

← 3
 Profit
 Net income/profit = Expenses - income
 Entry will be:
 Income & Summary A/c → Dr
 Retained Earnings / Capital → Cr
 (To close income)

← 4
 Retained Earnings / Capital → Dr
 Withdrawals → Cr
 (To close drawings)

Income Summary: The summary account in the ledgers to which revenue and expense accounts are closed at the end of period. The balance (credit balance for net income, debit balance for net loss) is transferred to the RE or Capital.

Post-closing TB

Close of A/c
 (Exp, income, Rev, Drawing) -
 Adjusted TB
 Change in Value of Capital

Capital / RE = Capital - Withdrawals + Profit / Dividend
 Value will be Adjusted TB value
 This value will be added into Post-closing TB.

Company Loss
 Capital = Capital - Withdrawal - Loss / Dividend / RE

Note:

- All expenses & Revenue close to income summary
- All Dividend close to retained earnings or capital.
- Close income summary A/c to retained earnings or capital.

Example:

Business consulting company
Adjusted TB

December 31, 2015

Alt Name	\$ Dr	\$ Cr
Cash	85,550	
Alt Rec.	4700	
Prepaid build rent	1500	
Unexpired insurance	3600	
Supplies	250	
Equipment	7000	
Alt dep - equipment		3600
Notes payable		5000
Alt payable		1600
Salaries payable		2000
Income tax payable		3000
Unearned service revenue		4400
Capital stock		50,000
Retained earnings		20,000
Dividends	3000	
Service revenue earned		82,500
Salaries expense	42,500	
Supplies expense	1,950	
Rent expense	6,000	

Insurance exp	950	
Advertisement exp	250	
Dep. exp - equipment	900	
Interest expense	450	
Income tax expense	11,500	
Total	\$172,100	\$172,100

(a) Prepare closing entries.

(b) Prepare Post-closing TB.

(Closing entries)
December 31, 2015

Date	Alt Name	Dr	Cr
	Service revenue	82,500	
	Income summary		82,500
	(To close Revenue)		
	Income summary	64,500	
	Salaries exp		42,500
	Supplies exp		1,950
	Rent exp		6,000
	Insurance exp		950
	Advertisement exp		250
	Dep exp - equipment		900
	Interest expense		450
	Income tax expense		11,500
	(To close expenses)		

Income summary	18000	
Retained earnings (To close Profit)		18000
Retained earnings	3000	
Dividend (To close dividend)		3000

Post-closing TB

S.No	Acc Name	\$ Dr	\$ Cr
1	Cash	88,550	
2	Acc Rec.	4700	
3	Prepaid rent	1500	
4	unexpired insurance	3600	
5	Supplies	250	
6	Equipment	9000	
7	Acc dep- equipment		3600
8	Notes payable		5000
9	Acc payable		1600
10	Salaries payable		2000
11	income tax payable		3000
12	Unearned service revenue		4400
13	Capital stock		50,000
14	Retained earnings		35,000
Total		104,600	104,600

(PP-2020) CS

(a) closing entries

(b) After-closing TB X

(c) Stmt of retained earnings with bal \$92,000?

Note: The firm stmt of RE indicates that \$6000 cash dividend was declared.

Gesder Psychological Services Inc.,
closing entries
December 31, 2011

Date	Acc Name	Dr	Cr
	Income summary Acc	107,100	
	Advertising		1800
	Salaries		94,000
	Office supplies		1200
	Utilities		850
	Malpractice		6000
	Office rent		24,000
	Continuing edu		2,650
	Dep exp		4,500
	Miscellaneous exp		6000
	Income expense		2,9400
	(To close expense)		
	Counseling revenue	225,000	
	Income summary		225,000
	(To close revenues)		

Income & summary capital	54600	
Capital	6000	54600
Dividend		6000

(b) Retained earning statement

Gesdes Psychological Services Inc.
Stm of retained earning
December 31, 2011

$$\begin{aligned}
 \text{Retained earning Balance} &= \text{Opening Balance} - \text{Dividend} + \text{Net income} \\
 &= 92,000 - 6000 + 54600 \\
 &= 140,600
 \end{aligned}$$

(PP-2020) II

(a) Prepare income statement & Stm of retained earning & Balance sheet.

(b) closing entries & after-closing Trial Balance.

JAN'S DANCE STUDIO, Inc.

Income statement

December 31, 2010

	\$	\$
Income:		
Studio revenue		165,000
Expenses:		
Salary	85000	
Supply	3900	
Rent	12000	
insurance	1900	
Advertisement	500	
Dep exp	1800	
interest exp	900	
income	23000	(129000)
Net income		36000

JAN DANCE STUDIO - INC :
Statement of retained earning
December 31, 2010

$$\begin{aligned} \text{REV} &= \text{Opening RE} + \text{Net income} - \text{Dividend} \\ &= 40000 + 36000 - 6000 \\ &= 70000 \end{aligned}$$

JAN DANCE STUDIO - INC
Balance Sheet
December 31, 2011

Assets:	\$	\$
Cash		171,100
A/c Rec.		9400
Prepaid rent		3000
unexpised insurance		7200
Supplies		500
Equipment	18000	
A/c dep	(7200)	10800
		<u>202,000</u>
Liabilities:		
Notes payable		10,000
A/c payable		3200
Salaries payable		4000

Income tax payable	6000
Unearned studio	8800
owner equity:	
Capital Stock	100,000
Retained earning	70,000
	<u>202,000</u>

JAN DANCE STUDIO - INC
Closing entries
December 31, 2011

Date	A/c Name	Dr	Cr
	Income Summary A/c	129,000	
	Salary		85000
	supply		3900
	Rent		12000
	insurance		1900
	Advertisement		500
	Dep. exp		1800
	interest exp		900
	income exp		23000
	(To close expenses)		
	Studio revenue	165,000	
	Income Summary A/c		165,000

Income summary Ak	36000	
Retained earnings (To close Profit)		36000
Retained earnings Dividend	6000	
(To close dividend)		6000

After closing TB

S.NO	Detail	Dr	Cr
1	Cash	171,100	
2	Acc Rec	9,400	
3	Prepaid rent	3,000	
4	Unexpired insurance	7,200	
5	Supplies	1,500	
6	Equipment	18,000	
7	Acc dep		7,200
8	Notes payable		10,000
9	Acc payable		3,200
10	Salaries payable		4,000
11	Income tax payable		6,000
12	Unearned studio revenue		8,800
13	Capital		100,000
14	Retained earnings		70,000
	Total	209,200	209,200